

Recommendations

1. Key Findings

The analysis of retail transaction and cancellation data identified the following key findings:

1. The dataset contains approximately 1 million transactions, with approximately 19K cancelled transactions.
2. The overall cancellation rate is approximately 1.83%.
3. The cancellation rate decreased between the two analyzed periods, indicating an improvement in cancellation performance.
4. Cancellation activity is concentrated across certain products and countries, making targeted investigation more appropriate than applying identical actions across all areas.
5. Cancellation transaction value is approximately 1.40M, indicating that cancellation analysis should consider financial impact in addition to transaction volume.
6. Data-quality issues such as missing customer information, missing descriptions, and invalid values need to be considered when interpreting the analysis.
7. The Power BI dashboard provides centralized visibility into cancellation KPIs, trends, products, and countries.
8. AI-assisted analysis can help convert validated analytical results into understandable business insights and potential actions, subject to Business Analyst and stakeholder validation.

2. Business Recommendations

Recommendation 1 — Monitor Cancellation KPIs

Establish cancellation rate, cancelled transaction count, and cancellation value as regularly monitored business KPIs.

Recommendation 2 — Investigate High-Cancellation Products

Prioritize products with consistently high cancellation activity for operational investigation.

The investigation should consider factors such as product availability, ordering processes, product information, and fulfilment issues.

Recommendation 3 — Investigate High-Cancellation Markets

Review markets with higher cancellation activity to determine whether operational or market-specific factors contribute to the observed pattern.

Recommendation 4 — Prioritize High-Value Cancellations

Use cancellation transaction value alongside cancellation volume to prioritize issues with greater potential financial impact.

Recommendation 5 — Improve Data Quality

Introduce validation checks for customer information, product descriptions, dates, quantities, and transaction values to improve reporting reliability.

Recommendation 6 — Establish Continuous Monitoring

Use the Power BI dashboard as a recurring monitoring mechanism so that business teams can identify changes in cancellation performance over time.

Recommendation 7 — Use AI as Decision Support

Use Generative AI to summarize validated analytical findings and generate potential recommendations, while ensuring that important business decisions are validated by the Business Analyst and relevant stakeholders.

3. Priority Matrix

Recommendation	Business Impact	Implementation Effort	Priority
Monitor Cancellation KPIs	High	Low	High
Investigate High-Cancellation Products	High	Medium	High
Investigate High-Cancellation Markets	Medium–High	Medium	High
Prioritize High-Value Cancellations	High	Medium	High
Improve Data Quality	High	Medium	High
Establish Continuous Monitoring	High	Medium	High
Use AI as Decision Support	Medium	Low	Medium

Prioritization Approach

Recommendations were prioritized based on their expected business impact and relative implementation effort.

High-priority actions focus on improving visibility, identifying major cancellation areas, reducing potential financial impact, and improving data quality.

The AI recommendation is classified as medium priority because it supports decision-making but should operate alongside validated analytical processes rather than replace them.

4. Expected Impact

The proposed recommendations are expected to:

- Improve visibility into cancellation performance.
- Help management prioritize high-impact products and markets.
- Improve monitoring of financial impact.

- Support more consistent data-driven decision-making.
- Improve data quality and reporting reliability.
- Enable continuous monitoring of cancellation performance.
- Reduce the time required to interpret analytical findings.

5. Implementation Considerations

The recommendations should be implemented incrementally.

1. Phase 1 should focus on KPI monitoring, data-quality improvements, and identification of high-priority products and markets.
2. Phase 2 should focus on investigating potential operational root causes and implementing corrective actions.
3. Phase 3 should establish continuous monitoring through Power BI and use AI-assisted insights as an additional decision-support layer.

Business stakeholders should validate the results of each phase before moving to the next stage.